Amended Joint Motion of OKF, LLC and the Official Committee of Unsecured Creditors to Surcharge Pursuant to 11 U.S.C. § 506(c) and Exclude Certain Fees and Charges From Secured Claim, And Notice of Opportunity for Hearing

September 15, 2025

OKF, LLC, Debtor-in-Possession (the "Debtor") reports to the Court the results of the sale of substantially all of the Debtor's assets and hereby, with the Official Committee of Unsecured Creditors (the "Creditors' Committee"), move this Court to enter an order surcharging the professional fees against the secured claim of the secured creditor Loeb Term Solutions, LLC ("Loeb") and preserving the increase in value achieved by the chapter 11 sale process for the estate by reducing the amounts payable to Loeb as part of the payoff demand of its secured claim as follows:

Report on the Sale

1. On May 16, 2025, this Court entered its Order (1) Authorizing Sale Of Substantially All Of The Debtor's Assets Free And Clear Of All Liens, Claims, Encumbrances And Other Interests, (2) Approving Distribution Of Sale Proceeds, And (3) Granting Related Relief (the "Sale Order") approving and authorizing the sale of substantially all of the Debtor's assets to Forge Group OKF LLC, an Illinois limited liability company, as buyer designee of Forge Resources Group LLC, an Illinois limited liability company ("Buyer") [Doc. 356] (the "Sale Order").

2. On June 19, 2025, the Debtor filed an Amended Report of Sale [Doc. 371], which is incorporated herein by reference (the "Report of Sale"). As detailed in the Report of Sale, on June 3, 2025, the Debtor closed the Sale to the Buyer and as a result, received net cash proceeds of $6,526,483.00 (the "Sale Proceeds") and in accordance with the Sale Order the Debtor made payments totaling $5,854,280.54 from the Sale Proceeds to various parties including Loeb. After

closing, the Debtor's estates netted $672,202.46 from which it must pay the chapter 11 administrative expenses and provide for the recovery for unsecured creditors.

3. The Debtor paid Loeb its payoff demand of $4,907,421.96 based upon the following received from counsel for Loeb:[1]

	Proof of Claim (8/16/2024)	Payoff (5/27/2025)	Claim Not Included in POC
Principal	3,733,114.34	3,733,114.34	
Pre-Payment Fee	175,643.20	175,643.20	
Accrued Interest	148,311.46	753,347.59	605,036.13
Forbearance Fee	15,000.00	15,000.00	
Late Fees	1,000.00	5,500.00	4,500.00
Insurance Expense		182,970.37	182,970.37
Legal Fees		69,978.73	69,978.73
Utility Expense	25,073.02	25,073.02	
Total	4,098,142.02	4,960,627.25	862,485.23
Daily Interest Per Diem		2,096.68	

4. The amount paid to Loeb based upon demand as payoff of its secured claim was $862,485.23 more than the $4,098,142.02 amount asserted in its Proof of Claims No. 20 filed January 6, 2025.

5. In the order approving the sale [Doc. 356] (the "Sale Order"), the Court expressly preserved the Debtor and the Committee's ability to reduce and recover the amounts paid to Loeb. In particular, Paragraph 16 of the Sale Order provides:

[1] In the application for compensation of fees and reimbursement of expenses [Doc. 392], Loeb requested reimbursement for fees of $87,536.50 and expense of $1,333.53, which is $18,891.30 more than what it requested at closing.

> The Debtor and the Debtor's estate reserve the right to object to any claim of any party that receives payment under this paragraph and seek disgorgement and return of any funds to the extent that their respective claims are disallowed or allowed for less than the amount they received. . . . Any rights, claims, remedies, or any other causes of action that the Committee and its members, the Debtor, the estate, any trustee, any other successor in interest to the interests of the Debtor or its estate, or any other party in interest may have against . . . the Prepetition Secured Lenders . . . expressly shall be preserved.

By this Motion, the Debtor and the Committee seek to recover a portion of the amounts paid to Loeb on account of its secured claim.

The Equities of the Case Require That the Increased Value Achieved by the Chapter 11 Sale Process Inure to the Unsecured Creditors

6. The Debtor requests that this Court exercise the discretion afforded to it under sections 105, 552(b) and 506(b) of the Bankruptcy Code to consider the specific facts and circumstances of this chapter 11 case to balance the equities so that a meaningful portion of the approximately $3 million of additional value achieved through the efforts of the Debtor, the Creditors' Committee and the Ellwood Companies[2] inures to the benefit of unsecured creditors and not predominantly to Loeb.

7. Under the `equities of the case' doctrine, the work done by the Debtor, the Creditors' Committee and the Ellwood Companies for the benefit of the Debtor's estate should enable them to share jointly in the proceeds made possible by their contribution, rather than allow a secured creditor to receive a windfall at the expense of their creditor constituents. See In re Barbara K. Enters., Inc., 2008 WL 2439649, at *11 (Bankr. S.D.N.Y. June 16, 2008) (stating the doctrine "is intended to ensure that secured creditors do not receive a windfall benefit in situations where the change in value is brought about by a party in the bankruptcy."); In re Crouch, 51 B.R. 331, 332

[2] Ellwood National Steel Company, Ellwood Quality Steels Company, and Ellwood Group, Inc. are collectively referred to as the "Ellwood Companies". The Ellwood Companies have been involved as DIP Lender, petitioning creditors, affiliates of the competing bidder and have been recognized as having made a substantial contribution to this chapter 11 case. See Doc. 381.

(Bankr.D.Or.1985) ("The purpose behind the `equities of the case' rule … is, in a proper case, to enable those who contribute to the production of proceeds during chapter 11 to share jointly with pre-petition creditors secured by proceeds."); In re Patio & Porch Systems, Inc., 194 B.R. 569, 575 (Bankr.D.Md.1996) ("This `equities of the case' provision is intended to prevent secured creditors from receiving windfalls and to allow bankruptcy courts broad discretion in balancing the interests of secured creditors against the general policy of the Bankruptcy Code.").

8. The equities of the case doctrine is most commonly applied under section 552 of the Bankruptcy Code, which typically extends a secured creditor's pre-bankruptcy lien to property acquired after the bankruptcy filing, such as proceeds from the sale of collateral. The "equities of the case" exception under section 552(b) allows the bankruptcy court to limit or end the lien on such proceeds. In particular, "[t]he equity exception of § 552(b) provides that a party's lien in proceeds survives § 552(a) `except to any extent that the court, after notice and a hearing and based on the equities of the case, orders otherwise.' What constitutes the equities of a particular case is left to the discretion of the bankruptcy judge." In re Airport Inn Assoc., Ltd., 132 B.R. 951, 959 (Bankr. D. Col. 1990).

9. The purpose of this exception is to prevent secured creditors from disproportionately benefiting from collateral that has appreciated in value due to the use of estate resources. Courts consider factors such as: (a) the amount of time and funds expended on the collateral; (b) the position of the secured party (e.g., whether they are over-secured); and (c) the rehabilitative nature of the bankruptcy. See In re Airport Inn Assoc., Ltd., 132 B.R. at 959.

10. Prior to the Petition Date and at the start of the case, Loeb had consented to a private sale of the Debtor's assets for $3,500,000, which would have required it to take a discount and less than the principal amount of its claim. The Debtor, the Creditors' Committee and the Ellwood Steel Companies and their professionals pursued and completed a sale process that increased the value of the collateral by more than $3 million. Loeb did not fund those expenses, but merely sat back and received the benefit of the efforts of those parties. Loeb had been willing to accept almost $1.5 million less on account of its secured claim, and it should not now demand

and be granted a claim of almost $5 million. The increase in the value of Loeb's collateral was a direct result of the chapter 11 process and the efforts of the parties that pursued and funded that sale process. The efforts of the Debtor, the Creditors' Committee and Ellwood Steel Companies and their respective professionals funded this increased recovery through their efforts without assurance of payment, and the estate and the creditors they represent should be the primary beneficiaries of this increase in value.

11. Although the Debtor agrees that Loeb could receive the principal amount of its claim, plus interest, plus any out-of-pocket third-party reasonable expenses it paid (e.g., insurance, legal fees and utilities) as part of its secured claim, the equities of the case require that, at a minimum, default interest, late fees and prepayment premium be excluded from any recovery on account of its secured claim and that a substantial portion of the $3 million in increased value generated by the chapter 11 case be preserved for the benefit of unsecured creditors.

[Section III of the filing, "The Default Rate of Interest, Late Fee and Prepayment Penalty Should Be Disallowed" (paragraphs 12 through 22, filing pages 6 through 10), is omitted from this transcription to keep the sample to the length of the others. It is not paraphrased here.]

Surcharge Pursuant to 11 U.S.C. § 506(c)

23. The Debtor has incurred claims for the fees and expenses of Crowe & Dunlevy in the amount of approximately $250,000. In addition, there are other unpaid administrative fees directly arising from the Sale that are due or will become due upon allowance for the following: (a) Ellwood National Steel Company, Ellwood Quality Steels Company, and Ellwood Group, Inc. (collectively, the "Ellwood Companies") in the amount of $140,000 per agreed order entered July 11, 2025 [Doc. 381], (b) Counsel for the Official Committee of Unsecured Creditors in the amount of approximately $115,000 per fee application filed August 13, 2025, (c) D.R. Payne and Associates in the amount of approximately $30,000 per fee application to be filed and (d) the fee

paid to the United States Trustee of $47,747.[3] for a total of approximately $580,000 (all of these claimants are collectively referred to herein as the "Claimants"). There are known additional administrative claims of at least $250,000 plus anticipated additional professional fees for preparation and filing of a Plan and Disclosure of at least $150,000. There are less than only $625,000 in currently available funds in the Estate to pay any and all administrative claims for the entirety of this case. Consequently, the Debtor asserts on behalf of the Estate and the Claimants that their fees and expenses should be charged against Loeb pursuant to 11 U.S.C. §506(c) as is necessary to avoid placing the burden of all costs of administration of this Debtor upon the unsecured creditor.

24. To support a surcharge against a secured creditor, not only must the post-petition expenditures be "necessary" and "reasonable," but the expenditures must have resulted in a quantifiable, direct benefit to the creditor and must have been made primarily for the creditor's benefit. When such a creditor receives a direct and quantifiable benefit from the work done, such creditor is liable for a surcharge under 11 U.S.C. §506(c). In Re Senior-G&A Operating Co., 957 F.2d 1290 (5th Cir. 1992). Administrative expenses or general costs of reorganization may not generally be charged against secured collateral, except where expenses were incurred primarily for the benefit of the secured creditor or when the secured creditor caused or consented to the expense. To satisfy the benefit test, the Debtor-in-Possession must establish in quantifiable terms that it expended funds directly to protect and preserve the collateral. In Re Cascade Hydraulics and Utility Service, Inc., 815 F.2d 546 (9th Cir. 1987). See also Brookfield Production Credit Association v. Borron, 738 F.2d 951, 952 (8th Cir. 1984); In Re Sonoma V, 24 B.R. 600, 603 (9th Cir. BAP 1982); In re North County Place, Ltd., 92 B.R. 437 (Bankr. C.D. Cal. 1988); In Re Proto-Specialties, Inc., 43 B.R. 81, 83 (Bankr. D. Ariz. 1984).

25. The Debtor seeks recovery of the administrative fees and costs of the Claimants. Attorney fees may be recovered from property securing an allowed secured claim as the cost of

[3] The substantial quarterly fee paid to the United States Trustee is directly attributable to the distribution to Loeb.

preserving property so long as the services were necessary to preserve or dispose of secured creditors property, the amounts charged for services were reasonable, and the expenses were incurred for the primary benefit of secured creditor. In Re Croton River Club, Inc., 162 B.R. 656 (Bankr. S.D.N.Y. 1993). See also In Re Dinsmore Tire Center, Inc., 81 B.R. 136 (Bankr. S.D. Fla. 1987); In Re J.R. Research, Inc., 65 B.R. 747 (Bankr. D. Utah 1986).

26. The efforts of the Professionals have clearly benefited Loeb. The real question is, did Loeb receive a direct and quantifiable benefit from the efforts of the Professionals such that their portion of the proceeds is subject to the assessment of the fees of the Professionals? The answer is clearly, yes.

27. Had the Professionals not done everything they did herein to ultimately close the sale of the assets as a going concern, Loeb would not have received all of its principle of $3,733,114.34 much less any interest, fees, or expenses because the original sale price offer from Forge Resource Group was approximately $3,500,000. Due to the efforts by the Claimants, Loeb's collateral sold for more than $6,500,000.00. Loeb's collateral was sold as a going concern through the efforts of the Claimants for about $3,000,000 more than such collateral would have brought in if it were sold at the outset of the petition. There is no question that Loeb did in fact receive a significant, direct, and quantifiable benefit from the efforts of the Claimants.

28. If the sale had been made to original offer, Loeb would not have even been paid the principal amount of the loan. Due to the work done by the Claimants, Loeb was not only paid the entire principal on the loan, but also for the increased default interest rate, late fees and the early payment penalty.

29. Substantial work was done directly on the sale. There were numerous calls with potential buyers, preparation of the Motion to sell, notice of sale and the order approving the sale, conducting the sale itself, contested evidentiary hearing to litigate objections to the sale by various parties and closing the sale. It is submitted that these are reasonable and necessary activities undertaken in this case and that have resulted in a direct and quantifiable benefit to Loeb. The benefit is the difference in the price of the original estimated sale of close to

$3,500,000 and the proceeds actually obtained by the final sale of $6,526,483.00. The net available to pay Loeb would have been substantially less after repayment of the $200,000 DIP Loan, United States Trustee Fees and other similar expenses.

Prayer for Relief

WHEREFORE, Debtor and the Creditors' Committee pray this Court preserve the increase in the value of the proceeds of the collateral from the sale of the Debtor's assets for the estate and the unsecured creditor by excluding default interest, the prepayment premium and late fees from the secured claim of Loeb and order Loeb to pay the fees and costs associated with the benefits bestowed upon them pursuant to 11 U.S.C. §506(c) by the Claimants totaling $580,000 and for such other relief as is just and proper.